The Fed's September decision: three rates with different jobs

Confirmed September 16, 2026 instructions set reserve-balance interest at 3.90%, standing repo at 4.0% and reverse repo at 3.75%, effective September 17. The settings explain implementation; they do not measure what banks or markets subsequently paid.

Chờ đọc duyệt · How do the three announced administered rates implement this dated Fed decision, and why do those settings alone not establish current borrowing costs, realized market rates or a direction for currencies and other assets?



Federal Reserve Chair Kevin Warsh at his May 22, 2026 swearing-in ceremony. Archive context; this is not a photograph of the September decision. · Official White House photograph by Daniel Torok, May 22, 2026. Public domain (US federal government). Commons crop; no further edits. · License · Image source

▼ **Đọc toàn bài**

The Federal Reserve's confirmed September 16, 2026 implementation note set a 3.90% interest rate on reserve balances, a 4.0% standing overnight repo rate and a 3.75% standing overnight reverse-repo offering rate, all effective September 17. These are announced terms for putting a policy decision into operation, not observations of what banks or markets subsequently paid. www.federalreserve.gov

The companion FOMC statement records a quarter-percentage-point increase in the federal funds target range to 3.75%-4% and continuation of the ample-reserves policy. The implementation note translates that objective into instructions for the Fed's trading Desk. This is a dated explanation of the September decision, not a new policy announcement.
www.federalreserve.gov
www.federalreserve.gov

Three operational roles

Reserve-balance interest is the payment attached to reserve balances. The Board voted unanimously to set it at 3.90%, effective September 17. For a bank holding such balances, the relevant question is what those balances earn; this is distinct from the terms for obtaining or placing cash overnight.
www.federalreserve.gov

Capital Chronicle's interpretation is that the three settings address different sides of cash management: remuneration for reserve balances, temporary cash provision through standing repo, and overnight cash placement through reverse repo. That distinction helps explain how the tools serve a shared policy objective; it does not establish that a particular operation occurred or that a customer's bank rate changed.
www.federalreserve.gov

The document's explicit objective for the Desk was to maintain the federal funds rate within the target range using open-market operations as necessary. Its 4.0% standing repo rate and 3.75% reverse-repo offering rate are instructions for separate operations. The chart compares those settings with reserve-balance interest for the same effective date; it is a comparison of announced policy terms, not a market-rate history.
www.federalreserve.gov

What would establish transmission?

The strongest countercase to treating the announcement as a verdict on borrowing costs is that instructions are not transactions. These documents supply no observed effective funding rates or matched bank deposit and loan rates, so they cannot establish how much of the decision reached bank customers. An

account of policy transmission needs those observations as well as the announced settings.
www.federalreserve.gov
www.federalreserve.gov

For bonds, currencies and other assets, Capital Chronicle's view is conditional: even if the tools influence the overnight cost of cash, the documents alone cannot establish the direction, timing or size of an asset-price response. They describe the policy terms, not a measured market reaction.
www.federalreserve.gov
www.federalreserve.gov

The next useful check is an official operation record dated September 17, 2026 or later, compared with the terms announced on September 16: did an operation occur, on which terms, and with what take-up? A later implementation notice could establish changed settings. Neither record alone would settle bank-customer pass-through; that question requires its own dated rate evidence.
www.federalreserve.gov

Sources

Source dates: Federal Reserve implementation note and FOMC statement, September 16, 2026. These are separate documents from the same institution, not independent confirmations by different publishers. The implementation text used here supplies no release time.
www.federalreserve.gov
www.federalreserve.gov

▶ **Góc bài và quyết định đọc duyệt**

▼ **SEO và ngày nguồn**

Fed September 2026 implementation: reserve interest, repo and reverse repo

A dated guide to the Fed's September 17, 2026 reserve-interest, repo and reverse-repo settings, and the evidence needed to judge their effect.

Slug: fed-september-2026-implementation-reserve-interest-repo-reverse-repo

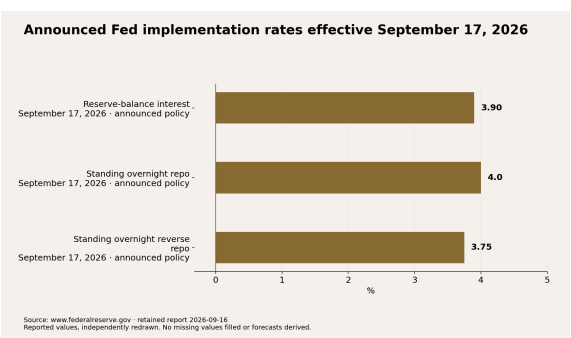
Source date: 2026-09-16. Interpretation remains analysis.

▼ **Nguồn và ngày**

SOURCE_1 · www.federalreserve.gov · September 16, 2026 (date only; release time not supplied) · Nguồn lưu giữ có ngày riêng
Đọc nguồn gốc

SOURCE_2 · www.federalreserve.gov · 2026-09-16T18:00:00Z · Nguồn lưu giữ có ngày riêng
Đọc nguồn gốc

Release media: READY



Announced Fed implementation rates effective September 17, 2026
Source: www.federalreserve.gov; retained report 2026-09-16. · Image source

8/8 bản xem trước theo nền tảng

▶ **Publication: REVIEW REQUIRED**

▼ **telegram**

NEWSROOM BRIEF

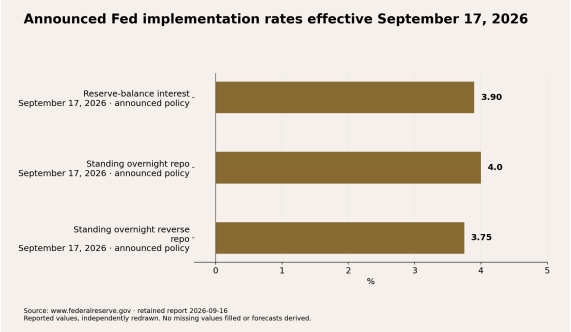
CONFIRMED | The Fed's September decision: three rates with different jobs [Source 2026-09-16]

The Fed's September 17 settings give three rates different jobs.

What to watch: The next useful check is an official operation record dated September 17, 2026 or later, compared with the terms announced on September 16: did an operation occur, on which terms, and with what take-up?

Full brief: [Canonical link pending]

Source date: 2026-09-16. Interpretation remains analysis.



Announced Fed implementation rates effective September 17, 2026 Source: www.federalreserve.gov; retained report 2026-09-16. · Image source

▼ **x**

Root post

CONFIRMED | The Fed's September decision: three rates with different jobs [Source 2026-09-16]

The Fed's September 17 settings give three rates different jobs.

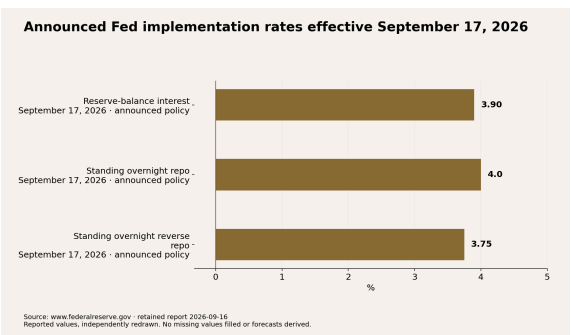
[Canonical link pending]

Reply 1

Watch: The next useful check is an official operation record dated September 17, 2026 or later, compared with the terms announced on September 16: did an operation occur, on which terms, and with what take-up?

Source date: 2026-09-16.

Interpretation remains analysis.



Announced Fed implementation rates effective September 17, 2026 Source: www.federalreserve.gov; retained report 2026-09-16. · Image source

▼ **linkedin**

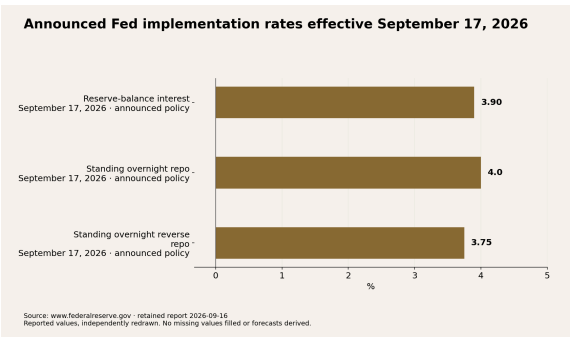
CONFIRMED | The Fed's September decision: three rates with different jobs [Source 2026-09-16]

Why it matters: Capital Chronicle's interpretation is that the three settings address different sides of cash management: remuneration for reserve balances, temporary cash provision through standing repo, and overnight cash placement through reverse repo.

Context: The strongest countercase to treating the announcement as a verdict on borrowing costs is that instructions are not transactions.

Read the full brief: [Canonical link pending]

Source date: 2026-09-16. Interpretation remains analysis.



Announced Fed implementation rates effective September 17, 2026 Source: www.federalreserve.gov; retained report 2026-09-16. · Image source

▼ discord

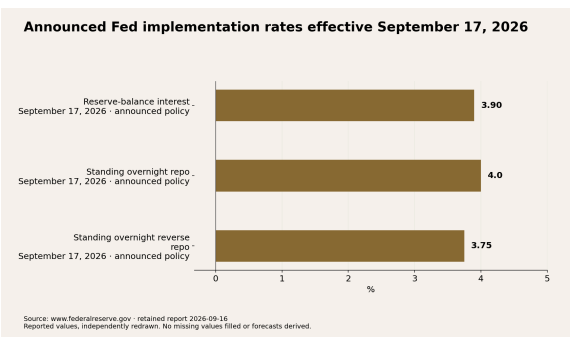
Newsroom brief: CONFIRMED | The Fed's September decision: three rates with different jobs [Source 2026-09-16]

The Fed's September 17 settings give three rates different jobs.

Context: The strongest countercase to treating the announcement as a verdict on borrowing costs is that instructions are not transactions.

Read the article: [Canonical link pending]

Source date: 2026-09-16. Interpretation remains analysis.



Announced Fed implementation rates effective September 17, 2026 Source: www.federalreserve.gov; retained report 2026-09-16. · Image source

▼ facebook page

CONFIRMED | The Fed's September decision: three rates with different jobs [Source 2026-09-16]

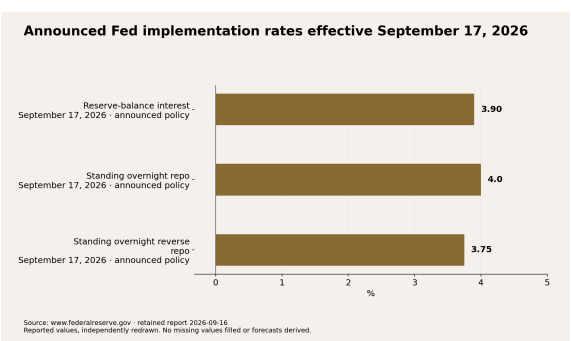
The Fed's September 17 settings give three rates different jobs.

Why it matters: Capital Chronicle's interpretation is that the three

settings address different sides of cash management: remuneration for reserve balances, temporary cash provision through standing repo, and overnight cash placement through reverse repo.

Read the full brief: [Canonical link pending]

Source date: 2026-09-16. Interpretation remains analysis.



Announced Fed implementation rates effective September 17, 2026 Source: www.federalreserve.gov; retained report 2026-09-16. · Image source

▼ instagram business

CONFIRMED | The Fed's September decision: three rates with different jobs [Source 2026-09-16]

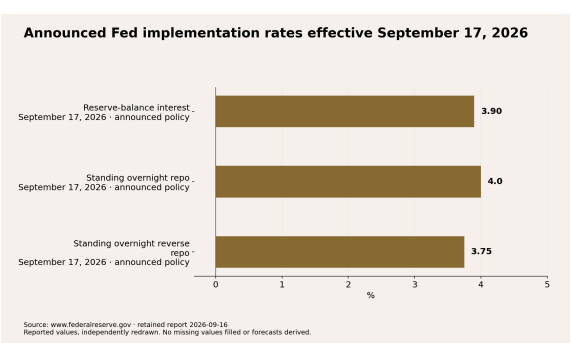
The Fed's September 17 settings give three rates different jobs.

In focus: The strongest countercase to treating the announcement as a verdict on borrowing costs is that instructions are not transactions.

Full brief: [Canonical link pending]

#CapitalChronicle

Source date: 2026-09-16. Interpretation remains analysis.



Announced Fed implementation rates effective September 17, 2026 Source: www.federalreserve.gov; retained report 2026-09-16. · Image source

▼ threads

Root post

CONFIRMED | The Fed's September decision: three rates with different jobs [Source 2026-09-16]

The strongest countercase to treating the announcement as a verdict on borrowing costs is that instructions are not transactions.

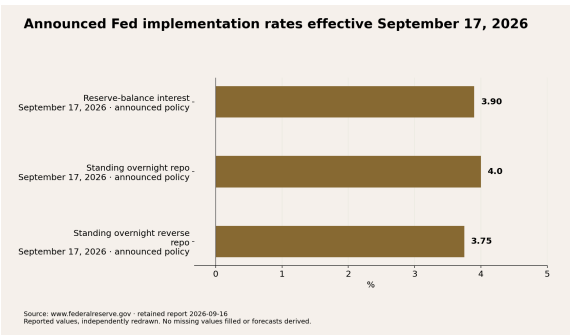
[Canonical link pending]

Reply 1

What to watch: The next useful check is an official operation record dated September 17, 2026 or later, compared with the terms announced on September 16: did an operation occur, on which terms, and with what take-up?

Source date: 2026-09-16.

Interpretation remains analysis.



Announced Fed implementation rates effective September 17, 2026
Source: www.federalreserve.gov; retained report 2026-09-16. · Image source

▼ youtube

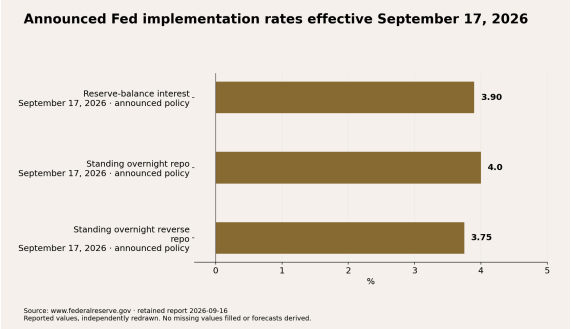
Update: CONFIRMED | The Fed's September decision: three rates with different jobs [Source 2026-09-16]

The Fed's September 17 settings give three rates different jobs.

What to watch: The next useful check is an official operation record dated September 17, 2026 or later, compared with the terms announced on September 16: did an operation occur, on which terms, and with what take-up?

Read the full brief: [Canonical link pending]

Source date: 2026-09-16.
Interpretation remains analysis.



Announced Fed implementation rates effective September 17, 2026
Source: www.federalreserve.gov; retained report 2026-09-16. · Image source